Canyon US Real Estate Debt Fund III L.P.

(A Delaware limited partnership)

Financial Statements
December 31, 2025

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Attachments:

Combined Financial Statements of the CRED III Master Funds for the year ended December 31, 2025

Report of Independent Auditors

To the General Partner of Canyon US Real Estate Debt Fund III L.P.

Opinion

We have audited the accompanying financial statements of Canyon US Real Estate Debt Fund III L.P. (the "Fund"), which comprise the statement of assets, liabilities and partners' capital as of December 31, 2025, and the related statements of operations, of changes in partners' capital and of cash flows, including the related notes for the year then ended (collectively referred to as the "financial statements").

In our opinion, the accompanying financial statements present fairly, in all material respects, the financial position of the Fund as of December 31, 2025, and the results of its operations, changes in its partners' capital and its cash flows for the year then ended in accordance with accounting principles generally accepted in the United States of America.

Basis for Opinion

We conducted our audit in accordance with auditing standards generally accepted in the United States of America (US GAAS). Our responsibilities under those standards are further described in the Auditors' Responsibilities for the Audit of the Financial Statements section of our report. We are required to be independent of the Fund and to meet our other ethical responsibilities, in accordance with the relevant ethical requirements relating to our audit. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our audit opinion.

Responsibilities of Management for the Financial Statements

Management is responsible for the preparation and fair presentation of the financial statements in accordance with accounting principles generally accepted in the United States of America, and for the design, implementation, and maintenance of internal control relevant to the preparation and fair presentation of financial statements that are free from material misstatement, whether due to fraud or error.

In preparing the financial statements, management is required to evaluate whether there are conditions or events, considered in the aggregate, that raise substantial doubt about the Fund's ability to continue as a going concern for one year after the date the financial statements are available to be issued.

Auditors' Responsibilities for the Audit of the Financial Statements

Our objectives are to obtain reasonable assurance about whether the financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditors' report that includes our opinion. Reasonable assurance is a high level of assurance but is not absolute assurance and therefore is not a guarantee that an audit conducted in accordance with US GAAS will always detect a material misstatement when it exists. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control. Misstatements are considered material if there is a substantial likelihood that, individually or in the aggregate, they would influence the judgment made by a reasonable user based on the financial statements.

PricewaterhouseCoopers LLP
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In performing an audit in accordance with US GAAS, we:

- Exercise professional judgment and maintain professional skepticism throughout the audit.
- Identify and assess the risks of material misstatement of the financial statements, whether due to fraud or error, and design and perform audit procedures responsive to those risks. Such procedures include examining, on a test basis, evidence regarding the amounts and disclosures in the financial statements.
- Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the Fund's internal control. Accordingly, no such opinion is expressed.
- Evaluate the appropriateness of accounting policies used and the reasonableness of significant accounting estimates made by management, as well as evaluate the overall presentation of the financial statements.
- Conclude whether, in our judgment, there are conditions or events, considered in the aggregate, that raise substantial doubt about the Fund's ability to continue as a going concern for a reasonable period of time.

We are required to communicate with those charged with governance regarding, among other matters, the planned scope and timing of the audit, significant audit findings, and certain internal control-related matters that we identified during the audit.

PricewaterhouseCoopers LLP

Los Angeles, California
April 9, 2026

Canyon US Real Estate Debt Fund III L.P.
(A Delaware limited partnership)
Statement of Assets, Liabilities and Partners' Capital
December 31, 2025

Assets		
Investment in CRED III Master Funds, at fair value (cost $78,733,048)	$	86,828,831
Cash		662,880
Due from partners		4,986
Other receivable		1,214
Total assets	$	87,497,911
Liabilities and Partners' Capital		
Commitments and contingencies (Note 6)		
Partners' capital	$	87,497,911
Total liabilities and partners' capital	$	87,497,911

The accompanying notes are an integral part of these financial statements.

Canyon US Real Estate Debt Fund III L.P.
(A Delaware limited partnership)
Statement of Operations
Year Ended December 31, 2025

Investment Income	
Interest income	$ 89,092
Total investment income	89,092
Fund Expenses	
Professional fees	50,426
Organizational costs	6,557
Other expenses	17,191
Total fund expenses	74,174
Net investment income (loss) allocated from CRED III Master Funds	
Interest income	7,050,230
Dividend income	1,921,356
Other income	187,301
Interest expense	(2,697,604)
Management fees	(1,127,853)
Professional fees	(152,157)
Administrative fees	(135,164)
Amortization of deferred financing costs	(82,052)
Organizational costs	(24,881)
Other expenses	(83,831)
Total investment income (loss) allocated from CRED III Master Funds	4,855,345
Net investment income (loss)	4,870,263
Net realized and change in unrealized gain (loss) on investments allocated from CRED III Master Funds	
Net realized gain (loss) on investments allocated from CRED III Master Funds	(792)
Change in unrealized gain (loss) on investments allocated from CRED III Master Funds	4,547,351
Change in unrealized gain (loss) on investments allocated from CRED III Master Funds	4,546,559
Net increase (decrease) in partners' capital resulting from operations	$ 9,416,822

The accompanying notes are an integral part of these financial statements.

Canyon US Real Estate Debt Fund III L.P.
(A Delaware limited partnership)
Statement of Changes in Partners' Capital
Year Ended December 31, 2025

	General Partner	Limited Partners	Total
Partners' capital as of December 31, 2024	$ 603,908	$ 75,252,265	$ 75,856,173
Net investment income (loss)	-	4,870,263	4,870,263
Net realized gain (loss) on investments allocated from CRED III Master Funds	-	(792)	(792)
Change in unrealized gain (loss) on investments allocated from CRED III Master Funds	-	4,547,351	4,547,351
Net increase (decrease) in partners' capital resulting from operations	-	9,416,822	9,416,822
Contributions	-	26,536,389	26,536,389
Recallable distributions	-	(14,239,858)	(14,239,858)
Distributions	-	(10,071,615)	(10,071,615)
Carried Interest	983,330	(983,330)	-
Total increase (decrease) in partners' capital	983,330	10,658,408	11,641,738
Partners' capital as of December 31, 2025	**$ 1,587,238**	**$ 85,910,673**	**$ 87,497,911**

The accompanying notes are an integral part of these financial statements.

Canyon US Real Estate Debt Fund III L.P.
(A Delaware limited partnership)
Statement of Cash Flows
Year Ended December 31, 2025

Cash flows from operating activites	
Net increase (decrease) in partners' capital resulting from operations	$ 9,416,822
Adjustments to reconcile net increase (decrease) in partners' capital resulting from operations to net cash provided by (used in) operating activities:	
Net investment income (loss) allocated from CRED III Master Funds	(4,855,345)
Change in unrealized gain (loss) on investments allocated from CRED III Master Funds	(4,547,351)
Change in realized gain (loss) on investments allocated from CRED III Master Funds	792
Contributions to CRED III Master Funds	(25,423,161)
Distributions from CRED III Master Funds	23,022,257
Changes in assets and liabilities:	
Due from partners	38,880
Other receivable	(1,214)
Due to affiliate	(1,009,546)
Accrued expenses	(32,100)
Net cash provided by (used in) operating activities	(3,389,966)
Cash flows from financing activities	
Contributions	26,536,389
Recallable Distributions	(14,239,858)
Distributions	(10,071,615)
Net cash provided by (used in) financing activities	2,224,916
Net increase (decrease) in cash	(1,165,050)
Cash - Beginning of year	1,827,930
Cash - End of year	$ 662,880

The accompanying notes are an integral part of these financial statements.

1. Organization

Canyon US Real Estate Debt Fund III L.P. (the “Fund”) was formed on October 27, 2021 as a Delaware limited partnership and commenced operations on April 7, 2022. The Fund’s Limited Partnership Agreement (the “Agreement”) was entered into by CRED III GP Co. LLC, a Delaware limited liability company (the “General Partner”), and various limited partners (the “Limited Partners”), collectively referred to herein as the “Partners”. The investment advisor to the Fund is Canyon Partners Real Estate LLC, a Delaware limited liability company (the “Investment Advisor”), an affiliate of the General Partner. Capitalized terms not defined herein are defined in the Agreement.

The Fund is a closed-end fund whereby the Limited Partners have committed to invest a certain amount which will be drawn down over the life of the Fund. The first closing date of the Fund occurred on April 7, 2022, and represents the date upon which interests in the Fund were issued pursuant to capital commitments received from the Limited Partners. Limited Partners were admitted through subsequent closings until the Final Closing Date, which was December 31, 2024. The Commitment Period shall terminate on the third anniversary of the Final Closing Date. After the end of the Commitment Period, capital contributions may be made in such amounts and at such times as the General Partner may specify as stated in the Agreement.

The Fund has total commitments of $248,860,000 from Limited Partners, of which $137,737,517 has been funded (gross of recallable distributions of $51,207,421), and $162,329,904 remains available to be called as of December 31, 2025. No capital commitments were made by the General Partner.

The Fund invests substantially all of its assets through a “master-feeder” structure, together with Canyon US Real Estate Fund III (B) L.P., a Delaware limited partnership (the “Affiliate Feeder”), in CRED III Master Fund L.P., a Delaware limited partnership, and CRED III Holdings L.P., a Delaware limited partnership, collectively referred to herein as the “CRED III Master Funds”. The CRED III Master Funds’ investment objectives are to seek current income and capital appreciation through investments in a wide range of commercial real estate debt and debt-like investments, including senior loans, mezzanine loans, development and construction loans, debt participation interests, private and publicly traded debt securities, participating debt, and preferred equity with debt-like characteristics. The performance of the Fund is directly affected by the performance of the CRED III Master Funds. The combined financial statements of the CRED III Master Funds are attached to this report and should be read in conjunction with the Fund’s financial statements. The Fund and Affiliate Feeder as well as entities ultimately wholly or partially owned by the Fund and Affiliate Feeder are referred to herein as the “CRED III Platform”.

2. Summary of Significant Accounting Policies

Basis of Presentation - The accompanying financial statements have been prepared in accordance with accounting principles generally accepted in the United States of America (“GAAP”). Management has determined that the Fund is an investment company in conformity with GAAP. Therefore, the Fund financial statements are prepared in accordance with the Financial Services – Investment Companies Topic of the FASB Accounting Standards Codification (“ASC”).

Use of Estimates - The preparation of financial statements in conformity with GAAP requires management to make estimates and assumptions that affect the reported amounts of assets and liabilities and disclosure of contingent assets and liabilities at the date of the financial statements and the reported amounts of revenues and expenses during the reporting period. Actual results could differ from those estimates.

The real estate and capital markets are cyclical in nature. Property investment values are affected by, among other things, the availability of capital, occupancy rates, rental rates, interest rates, and inflation rates. As a result, determining real estate and investment values involves many assumptions. Amounts ultimately realized from each investment may vary significantly from the fair values presented.

Risks - Risks are discussed in Note 2 of the combined financial statements of the CRED III Master Funds.

Principles of Accounting - The Fund records its proportionate share of the combined CRED III Master Funds' income, expenses, and realized and unrealized gains and losses. In addition, the Fund accrues its own expenses. Accounting principles used by the CRED III Master Funds are discussed in Note 2 of the combined financial statements of the CRED III Master Funds, which are attached to this report.

Cash - The Fund maintains cash in a commercial bank. Balances on deposit are insured by the Federal Deposit Insurance Corporation ("FDIC") up to specified limits. Balances in excess of FDIC limits are uninsured. From time to time, cash deposits may be in excess of the FDIC insured limits.

Valuation of Investment in the CRED III Master Funds - The Fund records its investment in the CRED III Master Funds at fair value. Valuation of investments by the CRED III Master Funds is discussed in Note 4 of the combined financial statements of the CRED III Master Funds.

Net Investment Income (Loss) - Net investment income (loss) allocated from CRED III Master Funds represents the Fund's share of profits and losses arising from its investment in CRED III Master Funds. Unrealized gains and losses from the investments in CRED III Master Funds are included in change in unrealized gain (loss) on investments allocated from CRED III Master Funds on the statement of operations.

Income Taxes - The Fund is not subject to income taxes. Instead, the Partners report their distributive share of the Fund's taxable profits, losses and credits on their respective income tax returns.

The Fund determines whether a tax position of the Fund is more likely than not to be sustained upon examination, including resolution of any related appeals or litigation processes, based on the technical merits of the position. For tax positions meeting the more likely than not threshold, the tax amount recognized in the financial statements is reduced by the largest benefit that has a greater than fifty percent likelihood of being realized upon ultimate settlement with the relevant taxing authority. The Fund has determined that there was no uncertain tax position as of December 31, 2025.

The Fund files tax returns as prescribed by the tax laws of the jurisdictions in which it operates. In the normal course of business, the Fund is subject to examination by federal, state, and local jurisdictions, where applicable. The Fund is generally subject to examination by U.S. federal tax authorities for returns filed for the prior three years and by state tax authorities for returns filed for the prior four years. The Fund has no examinations in progress as of December 31, 2025.

Organization Costs - According to the Agreement, the Fund shall bear all costs and expenses incurred in connection with the organization of, and the offering and sale of interests in the Fund. Under the terms of the Agreement and the partnership agreement of the Affiliate Feeder, organizational costs incurred by the CRED III Platform in excess of $2,500,000 in aggregate shall reduce management fees paid by each respective Fund on a proportionate basis.

3. Fair Value Measurement

ASC 820, Fair Value Measurement, requires enhanced disclosures about investments that are measured and reported at fair value. ASC 820 establishes a fair value hierarchy that prioritizes and ranks the level of market price observability used in measuring investments at fair value.

The Fund invests substantially all of its investable assets in the CRED III Master Funds. See Note 4 to the CRED III Master Funds' financial statements for the fair value measurement disclosures. The financial statements of the CRED III Master Funds are attached to this report and should be read in conjunction with the Fund's financial statements.

As of December 31, 2025, the percentage of the CRED III Master L.P. owned by the Fund was 30.4%. The Fund contributed $25,423,161 to the CRED III Master Funds for the year ended December 31, 2025. Investments are 99.2% of partners' capital as of December 31, 2025.

4. Capital Transactions

Allocation of Income and Losses - Profits and losses of the Fund shall be allocated among the Partners so as to reduce, proportionately, the difference between their respective target capital accounts and partially adjusted capital accounts as of the end of such allocation year, with the intention to cause each Partner's partially adjusted capital accounts to equal, as nearly as possible, such Partner's target capital accounts. The target capital account is an amount equal to the hypothetical distribution such Partner would receive if all Fund assets were sold for cash equal to their gross asset values, all Fund liabilities were satisfied to the extent required by their terms, and the net proceeds were distributed in full to the Partners as of the last day of the year. The partially adjusted capital account is the capital balance of such Partner in the Fund as of the beginning of the year, adjusted for all contributions, distributions and special allocations with respect to such year but before giving effect to any allocations of net income (loss).

Distributions - Distributable cash will be apportioned among the Partners in proportion to their respective Fund percentage interests. Each Limited Partner's apportioned share will, however, be distributed in the following order of priority:

(i) 100% to each Limited Partner until each Limited Partner has received:

(a) Aggregate distributions equal to each Limited Partner's aggregate capital contributions.

(b) Aggregate distributions representing a priority return of 7% per annum, compounded annually, on the balance of each Limited Partner's unreturned capital contributions.

(ii) 50% to the General Partner and 50% to the Limited Partner until the General Partner has received 15% of the sum of all distributions made with respect to the priority return and this second provision of the distribution priority.

(iii) Thereafter, 85% to the Limited Partners and 15% to the General Partner. The distributions to the General Partner in (ii) above, and this section, represent the Carried Interest allocation.

The Investment Advisor may elect to waive or rebate the Carried Interest allocation with regard to certain Limited Partners without offering the same opportunity to other Limited Partners. Carried Interest is calculated based on the most recent sub-close as of year ended December 31, 2025. As of December 31, 2025, $2,117,044 of Carried Interest has been allocated to the General Partner, of which $529,806 has been paid in the form of Tax Distributions.

To the extent, after the final distribution, the General Partner has received an Excess Carried Interest allocation, then the General Partner will return an amount equal to the Excess Carried Interest allocation to the Fund, provided that the General Partner will not be required to return to the Fund any amount in excess of the cumulative Carried Interest allocation actually received by the General Partner net of taxes imposed on such Carried Interest allocation.

Termination or Liquidation - The term of the Fund commenced on April 7, 2022 and shall continue until the Fund is finally wound up and its assets distributed to the Fund's creditors and Partners pursuant to the Agreement. The General Partner will use commercially reasonable efforts to liquidate all investments by the fifth anniversary of the termination of the Commitment Period, subject to (i) a one year extension at the sole discretion of the General Partner, (ii) an additional one year extension with consent of the Advisory Committee, or (iii) longer with the consent of a Majority in Interest.

5. Related Party Transactions

The Fund will pay the Investment Advisor a quarterly Management Fee in an amount equal to (i) as to each Limited Partner admitted to the Fund as of the Initial Closing Date, 0.3125% (or 1.25% per year on an annualized basis); or (ii) as to all other Limited Partners, 0.375% (or 1.50% per year on an annualized basis) of such Limited Partner's Invested Capital as of the end of each calendar quarter. Invested Capital includes the Limited Partners' aggregate Capital Contributions (other than those allocable to investments that have been disposed of or written down to zero) as well as that portion of the Limited Partners' unfunded commitment that has been committed to closed fund investments. The Management Fee shall be waived as to the General Partner and any GP Affiliated Partner. In addition, the Investment Advisor may waive (in whole or in part) the Management Fee as to certain Limited Partners without offering the same opportunity to other Limited Partners. The Management Fee is charged at the CRED III Master Funds. Total Management Fees allocated from the CRED III Master Funds for the year ended December 31, 2025 were $1,127,853. Management fees of $299,850 were payable as of December 31, 2025. There were no Transaction Fees offsetting management fees as of December 31, 2025.

Due to affiliate consists of amounts paid by the Investment Advisor on behalf of the Fund. The amounts due are unsecured, non-interest bearing, and payable on demand.

6. Commitments and Contingencies

Legal Actions - The Fund, from time to time, may be subject to litigation and claims arising in the normal course of business. The Fund is also subject, from time to time, to reviews, inquiries and investigations by regulatory agencies that have regulatory authority over the Fund's business activities. The Fund is currently not subject to any pending judicial, administrative or arbitration proceedings that are expected to have a material impact on the Fund's results of operations or financial condition.

Other Contingencies - In the normal course of business, the Fund enters into contracts that contain a variety of representations and warranties and which provide general indemnifications. The Fund's maximum exposure under these arrangements is unknown, as this would involve future claims that may be made against the Fund that have not yet occurred. However, based on experience, the Fund expects the risk of loss to be remote.

7. Financial Highlights

The FASB ASC Topic on investment company accounting requires that the Fund, as a nonregistered investment company, disclose financial accounting highlights consisting of the internal rate of return since inception and expense and net investment income (loss) ratios.

The following summarizes the Fund's internal rate of return since inception through December 31, 2025.

Internal Rate of Return, Since Inception	**2025**	**2024**
Internal rate of return, since inception	12.55%	13.21%

The internal rate of return is calculated based on a dollar-weighted internal rate of return methodology, net of fees and incentive allocation. It is computed on a since-inception basis using the actual dates of cash flows received by and outflows paid to investors and including ending capital as of the measurement date.

Ratios of Expenses, Carried Interest, and Net Investment Income (Loss)	**2025**
Operating expense ratio	5.85%
Carried Interest ratio	1.31%
Total expense and Carried Interest ratio	7.16%
Net investment income (loss) ratio	6.51%

The operating expense, Carried Interest and net investment income (loss) ratios are calculated for all Limited Partners and such computations for an individual Limited Partner may vary from these returns and ratios.

The operating expense and net investment income (loss) ratios are calculated using weighted average partners' capital for year ended December 31, 2025, net of management fees. The net investment income (loss) ratio does not reflect the effects of any Carried Interest, if any. Net increase (decrease) in partners' capital resulting from operations is assumed to be earned on the last day of each quarter when calculating weighted average partners' capital.

8. Subsequent Events

In preparing the financial statements, the Fund's management evaluated subsequent events occurring through April 9, 2026 the date the financial statements were available to be issued, in accordance with the Fund's policy related to disclosures of subsequent events.

On February 18, 2026, the Fund issued a capital call notice in the aggregate amount of $30,553,765. The proceeds from the capital call were used to fully repay the outstanding line of credit balance as of December 31, 2025.

On March 31, 2026, the Fund issued a distribution notice in the aggregate amount of $6,197,653. The distribution represents proceeds from the realization of the investment known as Wynhouse.